2. Fine

A fine is a penalty imposed on an individual for violation of law. For example, violation of traffic rules, payment of income tax after the stipulated time etc.

3. Earnings from Public Enterprises

The Government also gets revenue by way of surplus from public enterprises. Some of the public sector enterprises do make a good amount of profits. The profits or dividends which the government gets can be utilized for public expenditure.

4. Special assessment of betterment levy

It is a kind of special charge levied on certain members of the community who are beneficiaries of certain government activities or public projects. For example, due to a public park or due to the construction of a road, people in that locality may experience an appreciation in the value of their property or land.

5. Gifts, Grants and Aids

- A grant from one government to another is an important source of revenue in the modern days. The government at the Centre provides grants to State governments and the State governments provide grants to the local government to carry out their functions.

- Grants from foreign countries are known as Foreign Aid. Developing countries receive military aid, food aid, technological aid, etc. from other countries.

6. Escheats

It refers to the claim of the state to the property of persons who die without legal heirs or documented will.

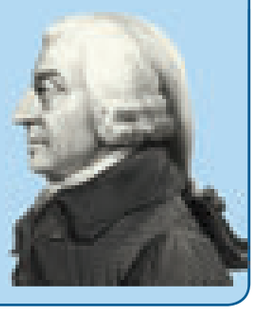
9.9.5. Canons of Taxation:

The characteristics or qualities which a good tax should possess are described as canons of taxation. It must be noted that canons refer to the qualities of an isolated tax and not to the tax system as a whole. A good tax system should have a proper combination of all kinds of taxes having different canons.

According to Adam Smith, there are four canons or maxims of taxation. They are as follows:

Canons of Taxation

1. Canon of Ability
2. Canon of Certainty
3. Canon of Convenience
4. Canon of Economy



1.Canon of Ability

The Government should impose tax in such a way that the people have to pay taxes according to their ability. In such case a rich person should pay more tax compared to a middle class person or a poor person.

2.Canon of Certainty

The Government must ensure that there is no uncertainty regarding the

12-Economics-Chapter_9.indd 184 2/6/2020 11:51:27 AM